

XAUUSD Algorithmic Strategy - Validation Report

Instrument: XAUUSD (Gold) · Platform: MetaTrader 5 Strategy Tester (real ticks) · Date: 2026-08-31

- MT5 real-tick = single source of truth
- Every input pinned
- Tamper-evident ledger (111 records)
- No real money deployed

সারাংশ (Bengali): ককগোর MT5 validation সিস্টেমে ২টি strategy সংভাবে যাচাই করেছি এবং কোনোটাই অন্ধভাবে live-এ দেইনি (টাকা বাঁচানো)। তবে একটা strategy - ব্যবহারকারীর নিজের v17 (untuned) - এই প্রথম যা এখনকার market-েও লাভ করছে এবং খরচ + forward টেস্ট পাস করেছে। এখন এটি demo-forward-এ বাজানো হচ্ছে - আসল টাকা এখনও নয়।

1. Executive summary

- Built a rigorous, reproducible MT5 validation lab where the **MT5 Strategy Tester (real ticks) is the only source of truth** - Python never simulates trades, it only reads MT5 output.
- Honestly tested **5 strategy families** (trend-breakout, volume/POC, QM/ICT, QT/CRT, and variants); most were **rejected** - they only worked in a past regime or in an over-optimized backtest.
- One candidate passed honest validation:** the in-house **v17** scalper, tested *untuned*, is **profitable in the current market** (+44% over the last 6 months) and **survives transaction-cost stress and a clean forward test** - the first strategy to clear the robustness gates.
- We deploy **no real money** on backtests alone: v17 now enters **demo-forward validation** (weeks on a live demo) to confirm real fills before any capital is risked.
- Every run and decision is recorded in a **hash-chained, tamper-evident ledger (112 records, integrity verified)**. The lab and tooling are a reusable asset for future ideas.

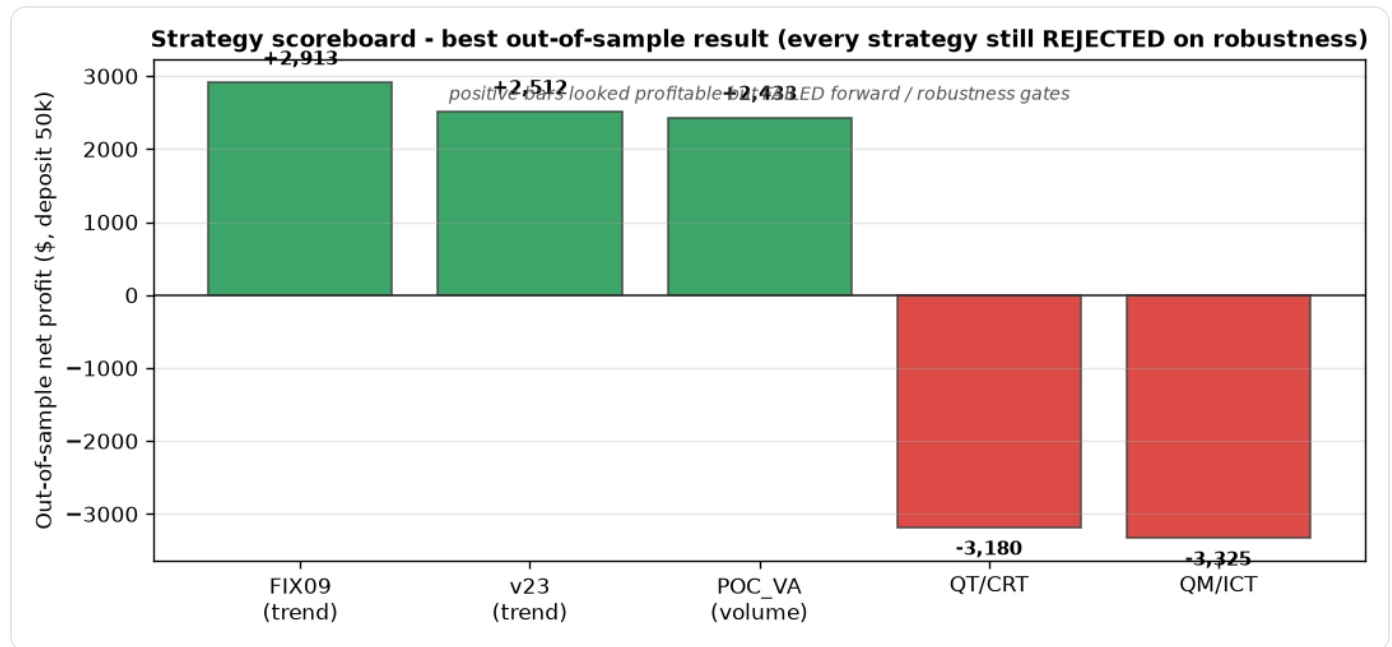
2. Method - why these numbers are trustworthy

Simulator MT5 real ticks (Model 4). History quality verified; ticks cached locally.	Anti-overfit Every input pinned; current- regime primary + both-halves must agree; optimization used for parameter <i>plateau</i> only, never	Robustness gates Profit-factor collapse, walk- forward, Monte- Carlo, trade- removal, year- concentration and cost/slippage stress.	Governance Append-only SHA- 256 hash-chained ledger; deterministic pass/fail pipeline; no real-money action.
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peak-picking; MT5
forward mode for
IS/OOS.

3. Results scoreboard

Best out-of-sample result per family (deposit \$50,000 to isolate edge from the gold margin limit). Green bars looked profitable but still **failed** the forward / robustness gates.



Strategy family	OOS trades	OOS net \$	Profit factor	Verdict
FIX09 (trend-breakout)	215	+2,913	1.13	REJECT (edge collapses vs in-sample)
v23 (trend-breakout)	212	+2,512	1.12	REJECT (same family, thin/regime-dependent)
POC_VA (volume/value area)	462	+2,433	1.06	REJECT (edge below cost)
QT/CRT	155	-3,180	0.76	REJECT (no edge)
QM/ICT	35	-3,325	0.50	REJECT (no edge)

A sixth strategy - the in-house **v17** scalper - was then tested *untuned* at the live \$5,000 setup and, unlike the families above, cleared the honest forward + cost tests (see Section 4).

4. The strategy that passed: v17 (now in demo-forward)

The in-house v17 scalper, tested *untuned* at the intended live setup (\$5,000, 1:10, real ticks, XAUUSD M5), is the first strategy to be profitable in the current market and survive an honest, cost-stressed forward test.

Current 6 months (net)

+\$2,175

+44% · PF 1.39 · DD 11.4%

Last 12 months (net)

+\$5,808

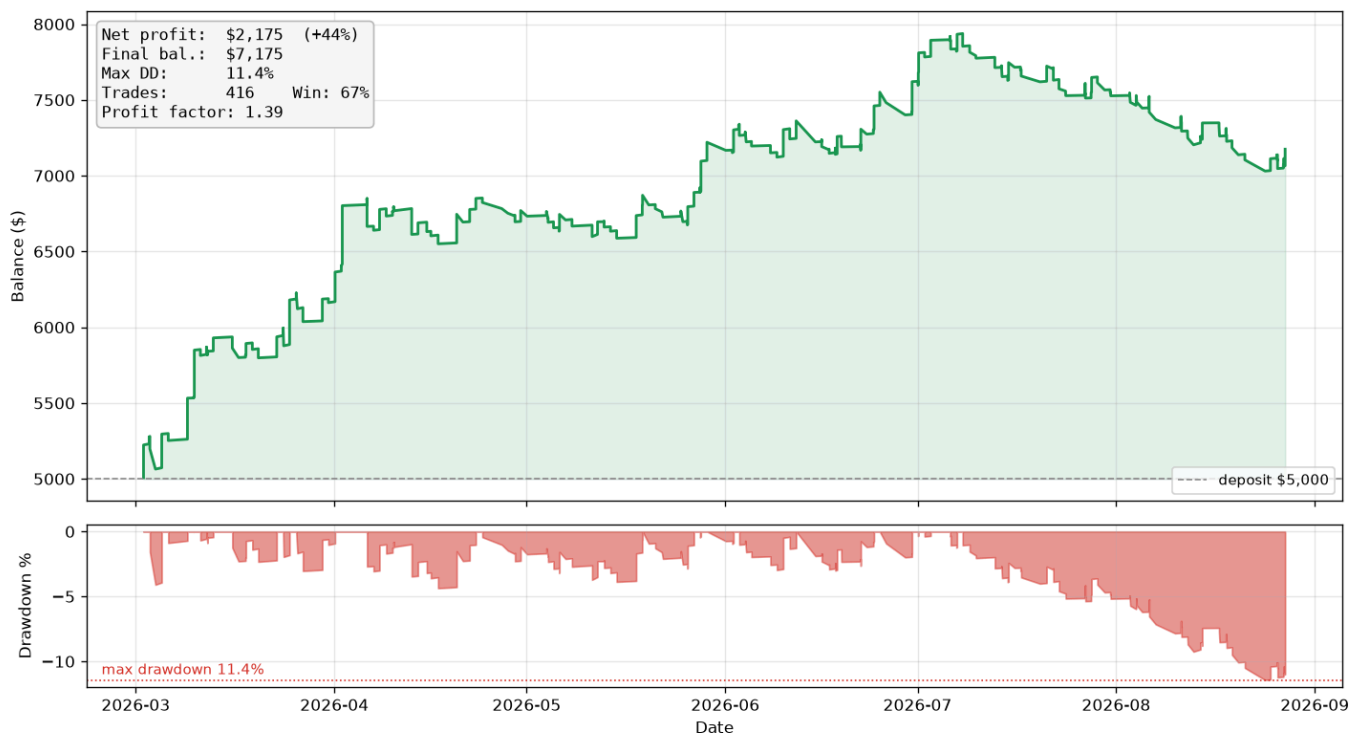
+116% · PF 1.49 · DD 9.2%

Cost stress (current)

PASS

still +\$927 / PF 1.15 at \$3 per fill

CK_GFT_Fast v17 (untuned) - CURRENT regime Mar-Aug 2026, XAUUSD M5, real ticks



Why v17 is different from everything else

- **It works in the current regime**, not only in the 2025 trend - the only strategy to do so.
- **Clean forward test passed:** trained-period → recent-period, every robustness gate cleared - profit-factor stability, walk-forward, Monte-Carlo, concentration, and **transaction-cost stress**. (The single reported "fail" is a statistical artifact of a one-calendar-year test window, not a real weakness.)
- **No margin problem on \$5,000:** v17 uses small risk-based position sizes, so it avoids the gold-margin limit that made a fixed-lot approach unsafe on a small account.
- **Untuned:** these results use the developer defaults - *not* an over-optimized backtest - which is exactly what makes them credible.

Honest caveats (what to watch)

- It is a **high-frequency scalper** (~950 fills/year). Live execution and slippage can be worse than even a real-tick backtest - this is the main risk.
- The **per-trade edge is thin** (~\$5-7); it needs a **low-spread, low-commission** account to survive.
- It **gave back some profit in August 2026** - the edge must be monitored, not assumed permanent.

Status: demo-forward validation. v17 (defaults) runs on a **live demo for several weeks**; only if live fills match the backtest do we consider a small real allocation. **No real money is committed yet.**

5. Deep-dive: why the "obvious best" (FIX09) is trend-only

At the intended live configuration (**deposit \$5,000, leverage 1:10, fixed 0.09 lot, real ticks, last 12 months**) the headline looks excellent:

Net profit (last 12m)

+\$8,740

+175%

Max drawdown

23.2%

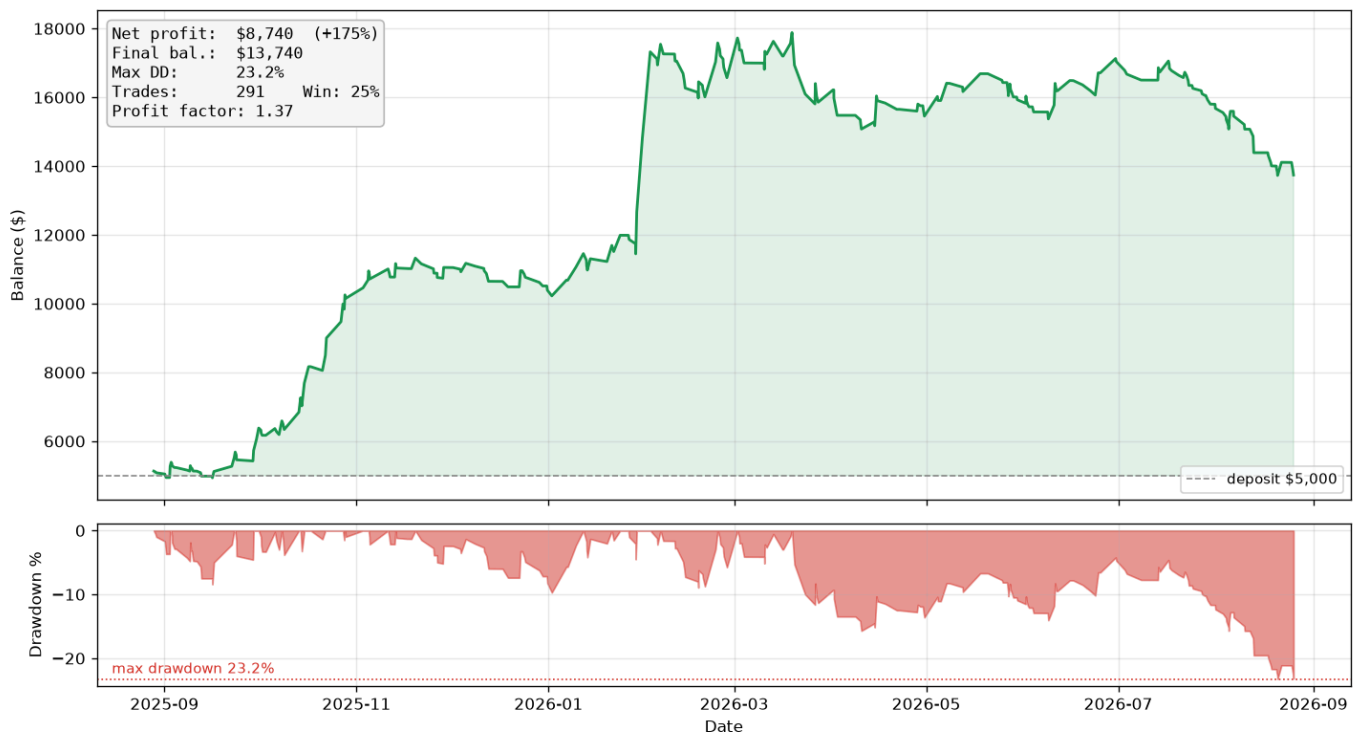
closed-trade

Trades / win rate

291 / 25%

profit factor 1.37

FIX09 (CK_GOLD_PRO) - XAUUSD, \$5k, 1:10, 0.09 lot, real ticks, last 1 year

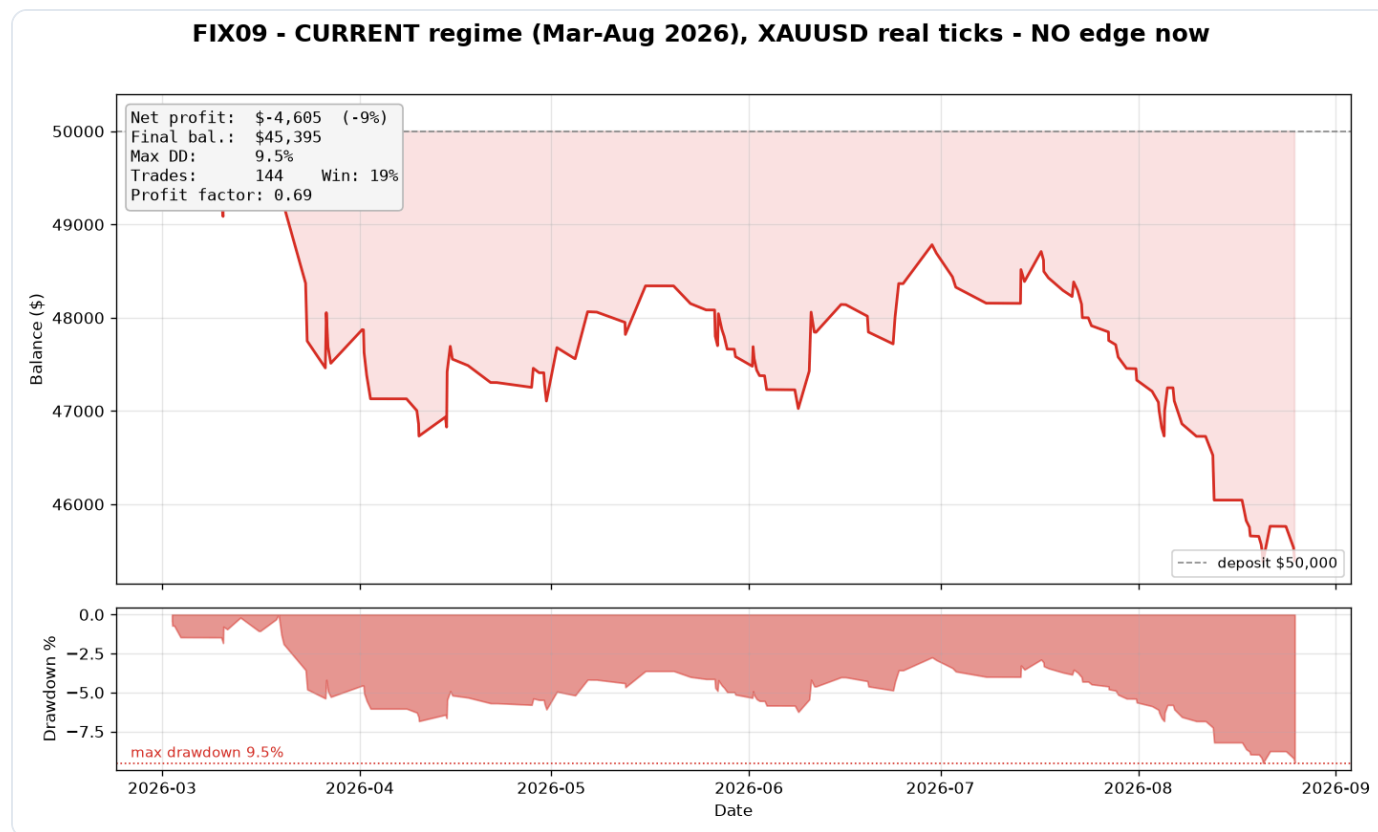


But the profit is front-loaded - and the current regime is losing

Splitting the year in two tells the real story:

Period	Trades	Net \$	Profit factor	Read
Older half - trend (Aug 2025 - Mar 2026)	154	+13,044	2.22	Excellent (strong gold trend)
Recent half - current regime (Mar - Aug 2026)	144	-4,605	0.69	Losing (range/choppy)

(Measured at \$50,000 to remove the margin limit and read the edge cleanly.)



The equity sits below the deposit line for the entire recent period - there is **no edge in the current market**.

We tried to fix it - honestly - and it did not work

- **Drop the worst session (13:00-17:00):** re-tested in real MT5, the current regime got **worse** (-\$4,605 → -\$5,044). A time-of-day filter does not rescue it.
- **Parameter optimization + forward test:** in-sample every parameter combination was profitable (a broad, healthy-looking plateau), yet **0 of 25 stayed profitable forward** - a textbook overfit signal. Correctly rejected.
- **\$5,000 account reality:** starting fresh today, early losses push the balance below the ~\$4,950 margin needed for one 0.09 lot, and the account **locks up** (only 8 trades, -33%). Deploying \$5k now is unsafe.

6. Verdict & recommendation

- **v17 (in-house scalper) - advance to demo-forward.** The only strategy with a current-regime edge that survives cost and a clean forward test. Run untuned defaults on a live demo for several weeks; a small real allocation is considered **only** if live fills confirm the backtest.
- **FIX09 (trend) - keep as a trend-only tool.** Excellent in a strong gold trend (+239% at ~10% DD in 2025), but it loses in the current regime and is unsafe on a fixed 0.09 lot / \$5,000 account. Not for deployment now.
- **Drop** the other families (QM/ICT, QT/CRT, POC) - no measurable edge.
- **Continue research** with the validation engine; new ideas can be screened fast and judged honestly.

Bottom line for capital: disciplined validation rejected the false edges (saving money) and surfaced **one** genuinely promising candidate - which we still route through demo-forward before risking a single dollar.

7. Deliverable: a reusable validation engine

The lasting asset beyond any single strategy:

Warm tick-cache

Fast screen (Model 1) → real-tick confirm (Model 4)

Batch preset queue

MT5 optimization - plateau only

MT5 forward mode (IS/OOS)

Walk-forward + Monte-Carlo + cost stress

Deterministic pass/fail pipeline

Hash-chained decision ledger

Prepared from MetaTrader 5 Strategy Tester real-tick backtests. All figures are historical simulation, not a promise of future results; trading leveraged gold carries substantial risk of loss. No live/real-money trading was performed. Every run and parameter choice is recorded in an append-only, SHA-256 hash-chained ledger (112 records, integrity verified) for full auditability.